

the John F. Kennedy School of Government at Harvard University, and he always includes this advice: “Invest in equities and then don’t open the mail.”⁵ To which we might add, “And don’t check your computer or your phone or any other device every minute.”

Loss Aversion

When Doris Buffett badgered her younger brother about their investment in Cities Service Preferred, it was a clear demonstration that it was difficult for her to endure the discomfort associated with declining stock prices. But let’s not be too harsh on Doris. She was suffering from an emotional condition that affects millions of investors each and every day. It is called loss aversion, and it is, in my opinion, the single most difficult hurdle that prevents most investors from successfully applying the Warren Buffett approach to investing.

This psychological condition was discovered 35 years ago by two giants in the field, Nobel laureate Daniel Kahneman, whom we met earlier in the chapter, and Amos Tversky, professor of psychology at Stanford University. The two men, longtime collaborators, were interested in the theory of decision making.

In 1979, Kahneman and Tversky wrote a paper titled “Prospect Theory: An Analysis of Decision under Risk.” It would later become the most cited paper ever to appear in *Econometrica*, the prestigious academic journal of economics. Up until that point, the utility theory of decision making, popularized by John von Neumann and Oskar Morgenstern in their book *Theory of Games and Economic Behavior* (Princeton University Press, 1944), was the accepted dogma in economics. Utility theory states that it should not matter how the alternatives are presented to someone making a decision. What matters most is for that person to do what is best for himself or herself. For example, if presented with a game that gives a 65 percent chance of winning and a 35 percent chance of losing, a person following utility theory should play, because the game has a positive sum outcome.

The utility theory is mathematically pristine. In an ideal world it’s the perfect approach to decision making. However, Kahneman and Tversky were trained as psychologists, not economists, and they weren’t so sure.